

they partly own. Elementary as this may be, it is the root of what distinguishes Buffett.

Owning and operating businesses has given him a distinct advantage in analytical thinking. He has experienced both success and failure in his business ventures and has applied to the stock market the lessons he has learned. Most professional investors have not been given the same beneficial education. While they were busy studying capital asset pricing models, beta, and modern portfolio theory, Buffett studied income statements, capital reinvestment requirements, and the cash-generating capabilities of his companies. “Can you really explain to a fish what it’s like to walk on land?” Buffett asks. “One day on land is worth a thousand years of talking about it, and one day running a business has exactly the same kind of value.”²

Buffett believes the investor and the businessperson should look at the company in the same way, because they both want essentially the same thing. The businessperson wants to buy the entire company, and the investor wants to buy portions of it. If you ask businesspeople what they think about when purchasing a company, they are likely to answer, “How much cash can be generated from the business.” Finance theory dictates that, over time, there is a direct correlation between the value of a company and its cash-generating capability. So, to make a profit, the businessperson and the investor should be looking at the same variables.

“In our view,” says Buffett, “investment students need only two well-taught courses: How to Value a Business, and How to Think about Market Prices.”³

The stock market, remember, is manic-depressive. Sometimes it is wildly excited about future prospects and at other times it unreasonably depressed. Of course, this creates opportunities, particularly when shares of outstanding businesses are available at irrationally low prices. But just as you would not take direction from an adviser who exhibited manic-depressive tendencies, neither should you allow the market to dictate your actions. The stock market is not a preceptor; it exists merely to assist you with the mechanics of buying or selling shares of stock. If you believe that the stock market is smarter than you are, give it your money by investing in